

Multiple Choice (10 marks)

1. By how much must investment rise to bring about a \$ 300 M change in income if $MPC = 0.75$.
 - (a) \$100 M
 - (b) \$25 M
 - (c) \$30 M
 - (d) \$300 M
 - (e) \$75 M
2. Which of the following would NOT shift the aggregate supply curve?
 - (a) A decrease in government regulation.
 - (b) An increase in the price level.
 - (c) A decrease in the amount of resources in the economy.
 - (d) A decrease in technology.
 - (e) An increase in business investment.
3. The purpose of "augmenting" the Dickey-Fuller test regression is to
 - (a) Ensure that there is no heteroscedasticity in the test regression residuals.
 - (b) Improve the accuracy of the Dickey-Fuller test
 - (c) Ensure that the test regression residuals are negatively skewed
 - (d) Ensure that the test regression residuals are normally distributed
 - (e) Ensure that all of the non-stationarity is taken into account.
4. The appropriate fiscal policy to remedy a recession
 - (a) calls for the federal government to run a deficit.
 - (b) calls for the federal government to run a surplus.
 - (c) is increased taxes and government spending.
 - (d) is decreased government spending and taxes.
5. The pacf is necessary for distinguishing between
 - (a) Different models from within the ARMA family
 - (b) An AR and an ARIMA model
 - (c) Different models from within the ARIMA family
 - (d) An ARIMA and an ARMA model
 - (e) Different models from within the AR model

True / False (10 marks)

Answer True or False

6. True or False: A leftward shift in supply combined with a rightward shift in demand will lead to an increase in the equilibrium price of corn.
7. True or False: Adam Smith believed that the division of labor is primarily limited by the size of the prospective markets.
8. True or False: Slight differences in growth rate percentages determine the exact size of a country's workforce, reflecting labor market conditions.
9. True or False: A tax cut in a full employment economy will lead to a decrease in real output and an increase in the price level.
10. True or False: In the long run, a firm's output remains fixed and cannot be adjusted based on production needs.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the differences between the nature of demand for land and the demand for cars, focusing on the concept of derived demand and its implications in economics.
12. Discuss how outsourcing bread delivery can be considered a long-run adjustment for the owners of a small café, and analyze its potential impacts on operational efficiency and cost management.

End of Paper